

INDIAN ECONOMY

LEVEL
II



LECTURES

AN OVERVIEW OF THE AGRICULTURE
AND ALLIED SECTORS IN INDIA - III

MODULE - 53



ASPECTS ABOUT MINIMUM SUPPORT PRICE (MSP)



- Minimum Support Price is announced for 23 crops.
 - ✓ 7 Cereals
 - ✓ 7 Oil seeds
 - ✓ 4 Commercial crops
 - ✓ 5 Pulses

WHEN WAS MSP INTRODUCED?

- For the first time, introduced in 1966-67, when Wheat was fixed at Rs. 54 per quintal.
- Basic idea is to give incentives to the farmers to grow more food grains. Without incentives, the farmers would not opt for cultivation of wheat and paddy, which were labor intensive.
- Introduction of MSP, along with other measures, made India self-reliant in food grains production.
- CACP recommends MSP with a minimum of $A2+FL+50\%$.



MINIMUM SUPPORT PRICE**7 CEREALS**

- Paddy
- Wheat
- Maize
- Bajra
- Jowar
- Ragi
- Barley

**PADDY****5 PULSES**

- Gram
- Arhar/Tur
- Urad
- Moong and
- Lentil

**CHANA DAL****7 OIL SEEDS**

- Rapeseed/mustard
- Groundnut
- Soybean
- Sunflower
- Sesamum
- Safflower
- Nigerseed

**SOYBEAN****4 COMMERCIAL CROPS**

- Cotton
- Sugarcane
- Copra/De-husked coconut
- Raw jute

**SUGARCANE**

Centre fixes MSPs for every kharif and Rabi cropping seasons, based on the recommendations of CACP.

WHAT DO YOU UNDERSTAND BY A2/A2+FL/C2?

A2

It covers all cash and in kind expenses incurred by the farmers on seeds, fertilizers, chemicals, hired labour, fuel, irrigation etc.

A2+FL

Actual costs i.e., A2 plus an imputed value of unpaid family labour.



C2

It includes 'A2+FL' along with revenue forgone on owned land (rent) and fixed capital assets (interest).



The Minimum Support Price is now fixed by taking a minimum of A2+FL+50%.

MINIMUM SUPPORT PRICE



Commission for Agricultural Costs & Prices
Ministry of Agriculture & Farmers Welfare, Government of India

1

SEVEN CEREAL CROPS



PADDY



WHEAT



MAIZE



RAGI



SORGHUM



PEARL MILLET



BARLEY



MINIMUM SUPPORT PRICE

1 SEVEN CEREAL CROPS

THREE IN KHARIF/RABI

Paddy

K

R



Maize

K

R



Jowar

K

R



MINIMUM SUPPORT PRICE

1 SEVEN CEREAL CROPS

TWO EXCLUSIVE KHARIF

Bajra



Ragi



TWO EXCLUSIVE RABI

Wheat



Barley



The production of rice, wheat and coarse cereals has increased at Compound Annual Growth Rates (CAGR) of 2.7, 2.9 and 4.8 per cent respectively during the last six years i.e. 2015-16 to 2020-21.

MINIMUM SUPPORT PRICE

MAJOR COARSE GRAINS

Overall Coarse Grains – around 50 MT

SEVEN CEREAL CROPS

1

MAIN CEREALS

Rice ... Annual production – around 120 MT (more than 80% in Kharif season)

Wheat ... Annual production – around 105-110 MT (entirely in the Rabi season)

Maize

K R

Maize – 30 MT

Bajra

K -

Bajra – 10 MT

Jowar

K R

Jowar – 5 MT

MINIMUM SUPPORT PRICE

KNOW ABOUT FIVE COARSE CEREALS



THESE TWO ARE NOT MILLETS

MAIZE



BOTH IN KHARIF/RABI

BARLEY



EXCLUSIVE RABI

- All the coarse cereals are not millets.
- Maize is the largest grown coarse cereal in the country.
- In India, majority of the Maize is used as a poultry feed.

THESE THREE ARE MILLETS



BAJRA



EXCLUSIVE KHARIF

RAGI



EXCLUSIVE KHARIF

JOWAR (SORGHUM)



BOTH IN KHARIF/RABI

- These millets are part of the coarse cereals.
- Bajra (Pearl Millet) is the largest grown millet in the country.

TO CONCLUDE ... OUT OF **SEVEN** CEREALS, **THREE** ARE MILLETS!

TWO EXCLUSIVE KHARIF

BAJRA
(PEARL MILLETS)



RAGI
(FINGER MILLETS)



ONE KHARIF/RABI

JOWAR
(SORGHUM)



UN ADOPTED 2023 AS THE INTERNATIONAL YEAR OF MILLETS

- Food and Agriculture Organisation of the UN is the implementation agency.
- Millets originated through the domestication of wild African grasses in the Nile Valley and the Sahel Zone in Africa.
- India is the largest producer of Millets in the World.
- In India, millets are grown both in kharif and rabi seasons.
- Production is almost stagnant during the previous decade.

MILLETS ARE PROBIOTICS AND NUTRI-CEREALS!**WHAT ARE PROBIOTICS?**

- Probiotics are the micro-organisms that are quite helpful for digestion.
- Probiotic foods from millets are rich in phytochemicals, including phytic acid and phytates, which are known to have lower cholesterol and reduce the risk of cancer.



Pearl millet grains contain Iron, which is the highest (6.4 mg/100 g) among various cereals.

WHY ARE THEY CALLED NUTRI-CEREALS?

- Millets are lately known as nutri-cereals as they are nutritionally superior to major cereals - wheat and rice for carbohydrates and energy.
- They serve as a good source of protein, high dietary fibre, vitamins, minerals, antioxidants and micronutrients.





2

FIVE PULSES



GRAM



TUR DAL



LENTIL



MOONG DAL



URAD DAL



MINIMUM SUPPORT PRICE

2

FIVE PULSES

TWO IN KHARIF/RABI



URAD

K

R

MOONG

K

R



**GRAM ... THE HIGHEST
AMONG THE PULSES!**



ONE EXCLUSIVE KHARIF

ARHAR/TUR



TWO EXCLUSIVE RABI

GRAM



LENTIL





GROUNDNUT



RAPESEED/MUSTARD



SOYBEAN



NIGER SEED



SESAMUM



SUNFLOWER



SAFFLOWER

The CAGR for pulses, oilseeds and cotton has been 7.9, 6.1 and 2.8 per cent respectively during the period 2015-16 to 2020-21.



MINIMUM SUPPORT PRICE

3

SEVEN OIL SEEDS

TWO IN KHARIF/RABI



GROUNDNUT

K

R

SUNFLOWER

K

R



THREE EXCLUSIVE KHARIF

SOYBEAN



SESAMUM



NIGER SEED



TWO EXCLUSIVE RABI

RAPESEED / MUSTARD

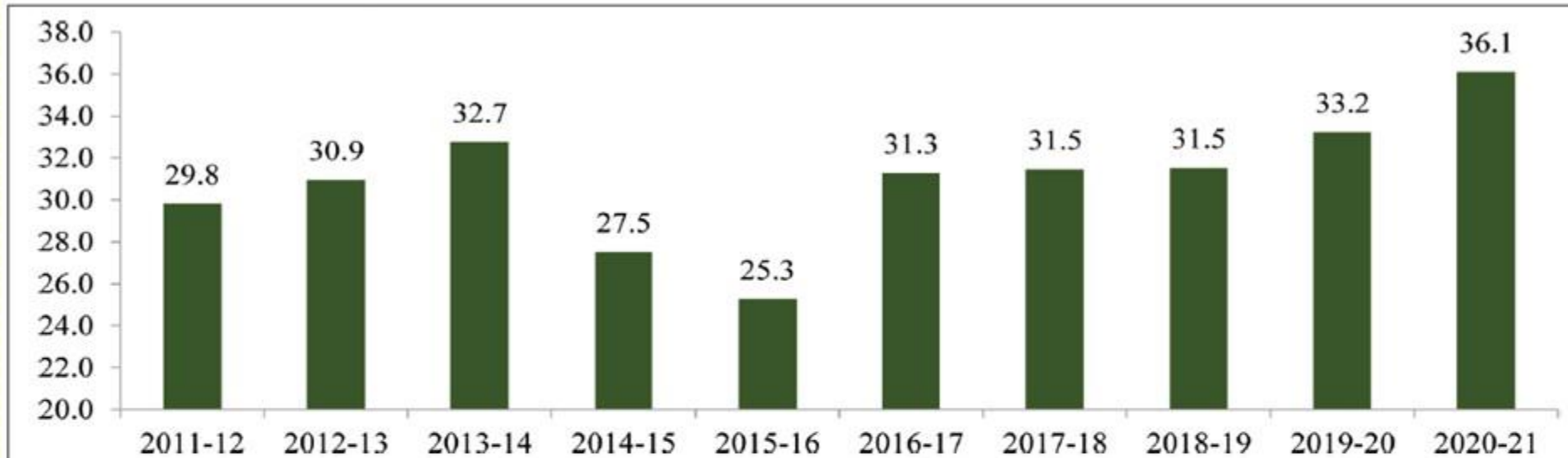


SAFFLOWER



LOOK AT THE TREND IN THE PRODUCTION OF OILSEEDS!

Figure 7: Trend in Production of Oilseeds (Million Tonnes)



IMPORTANT ASPECTS ABOUT OILSEEDS!

- ✓ The oilseed production in India has grown by almost 43% from 2015-16 to 2020-21.
- ✓ India is the world's second largest consumer and number one importer of vegetable oil.
- ✓ As urbanisation increases in developing countries, dietary habits and traditional meal patterns are expected to shift towards processed foods that have a high content of vegetable oil.
- ✓ Soybean and groundnut are legume crops and fix their nitrogen.



OILSEEDS IS FACING POOR PRODUCTIVITY PROBLEM!



- In 2021-22, India imported around \$19 billion worth of edible oil.
- Three oil seed crops i.e., Mustard, Soybean and Groundnut are already grown extensively. All three crops not only provide edible oils but also are an excellent source of protein rich seeds or seed meal for livestock and poultry.
- The yields of these crops are stagnating in India at around 1.1 tonnes per hectare. This is significantly lower than the global average.

MINIMUM SUPPORT PRICE



Commission for Agricultural Costs & Prices
Ministry of Agriculture & Farmers Welfare, Government of India

4

FOUR COMMERCIAL CROPS



COPRA/ DE-HUSKED COCONUT



SUGARCANE



COTTON



RAW JUTE



WE EXPRESS OUR
SINCERE THANKS
FOR VIEWING THIS VIDEO

Presented by



Learning Space

For Suggestions:

suggestions@learningspace.in

To Contact us:

info@learningspace.in

For Information:

info.learningspacedigital@gmail.com

Visit us at:

www.learningspacedigital.com

98499 42299